



WHAT IT INDICATES ?

Three black crows and three white soldiers indicate a trend in the market. They re-affirm who has control over the market currently. They do not show any signs of reversal. Three black crows indicate that the market is in very strong control of the bears. Hence, the asset price is in a position to fall in such an unopposed manner. Three black crows often follow a piece of significant news in the market. It shows that currently, the bulls have no control over the market. Three white soldiers indicate the opposite. It shows that the market is in the control of the bulls and currently the bears do not find a standing.

HOW TO TRADE ?

Initiating a new trade based on Three Black Crows and Three White Soldiers is always a dangerous idea. The reason for the same is that after forming a Three Black Crows, the bears have used a lot of their control and there is a good chance for them to exhaust themselves. Also, there is a chance of strong reversal as the Bears have used their resources and the Bulls might come back with great force and the Bears will not have the resources to oppose them. Also, there can be a strong reversal due to profit-booking by Bears. As a result, we will not initiate a trade following three black crows or three white soldiers. Instead, if we have a position and one of these is formed, we will hold on to the position and it should re-affirm to us the same.